

How trusts are assessed for land tax

 revenue.nsw.gov.au/taxes-duties-levies-royalties/land-tax/understanding-land-tax/types-of-landowners/trusts

Understand the different types of trusts, their eligibility for the NSW land tax threshold and their potential liability for surcharge land tax.

Last updated: 25 August 2026

On this page

[What is a trust?](#)[Surcharge land tax for trusts](#)[Application of the threshold for different types of trusts](#)[Special trusts](#)[Fixed trusts](#)[Bare trusts](#)[Superannuation trusts](#)[Trusts created by a will](#)[Family unit trusts](#)[Concessional trusts](#)[Charitable trusts](#)[Documents to provide](#)[Providing accurate information and documents](#)[Contact the land tax team](#)

What is a trust?

A trust is an arrangement where a trustee manages or holds a property for the benefit of one or more individuals or organisations (known as a beneficiary).

The trustee has a duty to the beneficiaries, who are the **beneficial** owners of the trust property.

You are considered to be the owner of the interest in the trust if you are a beneficiary or unit holder in a fixed or family unit trust.

A trust may be liable for land tax. When calculating your land tax liability, you must consider the value of your interest in the account.

Watch our [video series on trusts](#) to find out more.

Surcharge land tax for trusts

Trusts may be liable for [surcharge land tax](#) where the beneficiaries of a trust include foreign persons.

Discretionary trust deeds are required to irrevocably exclude foreign beneficiaries to be exempt from surcharge land tax.

Read more about how surcharge land tax can be applied to different trust structures below.

Application of the threshold for different types of trusts

Some trust types are not eligible to receive the [land tax threshold](#).

This means some owners may pay land tax even if their land value is below the threshold, such as special trusts.

Find out if your trust type is eligible for the land tax threshold below.

Special trusts

A special trust **does not** receive the [land tax threshold](#).

A special trust is a trust that does not meet the criteria to be considered a concessional trust or a fixed trust for land tax purposes.

A special trust is defined in [section 3A of the *Land Tax Management Act 1956*](#) and can include:

- family trusts
- discretionary trusts
- unit trusts, and
- trusts created by a will.

Special trusts are taxed at a flat rate of 1.6% for amounts up to the premium land tax threshold, then at 2%.

You may also be liable for [surcharge land tax](#) in NSW if:

- any beneficiary is a [foreign person](#), and
- the trust owns residential land in NSW.

With a special trust, the trustee, not the beneficiaries, are the only person who meets the definition of an owner for land tax purposes.

The trustee of a special trust is considered a foreign person if:

- it is a discretionary trust that does not exclude foreign beneficiaries (see [section 5D of the *Land Tax Act 1956*](#) and [Commissioner's Practice Note: Foreign surcharges and discretionary trusts](#)), **or**
- any beneficiary is an individual not ordinarily resident in Australia, **or**
- it is a foreign corporation, a foreign trust, or a foreign government, **and**
- it holds a substantial interest or aggregate substantial interest in the trust.

Example: Special trust land tax calculation

Landowner	ABC Pty Ltd ATF ABC Family Trust
	Property F
Property ownership	ABC Pty Ltd ATF ABC Family Trusts owns 100%
	Land value = \$600,000

	Special trusts do not receive the benefit of the land tax threshold
	$\$600,000 \text{ (total land value)} \times \$1.6\% \text{ (general land tax rate)} = \$9,600$
Calculation	Note: A premium land tax marginal rate of 2% applies for special trust on the total taxable land value above \$6,571,000

Land tax payable	\$9,600
-------------------------	---------

[Back to top](#)

Setting up or amending a discretionary trust to exclude foreign beneficiaries for surcharge land tax

The trustee of a discretionary trust may be liable for foreign surcharges if any one of the named beneficiaries or potential beneficiaries is a foreign person.

To avoid surcharge land tax discretionary trusts must be set up or amended to prevent beneficiaries and potential beneficiaries that are foreign persons from receiving distributions as to income and/or capital of the trust.

Should the trust deed contain named beneficiaries who are foreign persons, such beneficiaries must be removed from the trust deed as beneficiaries.

It is not sufficient that named beneficiaries are merely prevented from receiving distributions, such as through a general clause excluding foreign persons from being beneficiaries.

The trust will be liable for surcharge land tax on any residential land held even if the trust does not intend to distribute income and/or capital to the foreign persons who are beneficiaries of the discretionary trust.

For a discretionary trust, each beneficiary or potential beneficiary to whom the trustee has discretion to distribute the income or property is deemed to have the maximum percentage interest in the income or property that the trustee may exercise discretion to distribute to them.

A trustee will be considered foreign and liable to pay [surcharge land tax](#) on any residential land held unless the trust satisfies **both** of the following criteria:

1. No beneficiary or potential beneficiary of the trust is a [foreign person](#) (the "no foreign beneficiary requirement"), and
2. The terms of the trust must not be capable of amendment that would result in a foreign person being a potential beneficiary (the "no amendment requirement").

If both of the above criteria are not satisfied the trustee will be considered foreign.

For more information and examples refer to [Commissioner's Practice Note: Foreign surcharges and discretionary trusts](#).

[Back to top](#)

Fixed trusts

A fixed trust is eligible for the [land tax threshold](#).

A fixed trust includes some unit trusts and bare trusts.

Fixed trust has the meanings given by [section 3A\(2\) and section \(3A\) and \(3B\) of the Land Tax Management Act 1956](#).

To qualify as a fixed trust, the trust deed must satisfy the following:

- the beneficiaries or unit holders are presently entitled to all the income of the trust, after payment of the proper expenses incurred by the trustee in authorised administration of the trust
- the beneficiaries or unit holders are presently entitled to the capital of the trust and may require the trustee to wind up the trust and distribute the trust property or the net proceeds of the trust
- the entitlements cannot be removed, restricted or otherwise affected by the exercise of any discretion, or by a failure to exercise any discretion, conferred on a person by the trust deed

Where a trust is a unit trust it must also:

- only one class of units can be issued, and the proportion of trust capital a unit holder is entitled to on winding up or surrender of units must be fixed, and must be the same as the proportion of income of the trust to which the unit holder is entitled.
- if a beneficiary or a unit holder owns other taxable land, or is a special trust, they are assessed on the combined value of their interest of the land held in the trust and any other taxable land owned. They may be entitled to a secondary deduction to prevent double taxation.

Generally, foreign person beneficiaries of a fixed trust are individually liable for any surcharge liability, not the trust/trustee.

In cases where the trustee and the beneficiaries of a fixed trust (along with any other joint owners) are all natural persons, a [principal place of residence exemption](#) (PPR) can be applied provided that the beneficiaries resides in the property and all relevant eligibility requirements the PPR exemption are met.

Open all

[Amending a unit trust to receive the benefit of the land tax threshold](#)

A unit trust that does not meet the relevant criteria set out in [section 3A\(3B\) of the Land Tax Management Act 1956](#), can amend its trust deed so it is considered a fixed trust for future tax years.

Before you amend a trust deed, you should consider seeking professional advice as any amendment may change the way your trust is considered for other circumstances.

To ensure amended deeds meet the requirements, you will need to lodge a return via Land Tax Online and upload the following documents:

- an executed copy of the amended deed trust, and
- an executed full copy of the original trust deed, if you have not already given it to us.
- a copy of the unit holder register showing the unit holdings as at the date of the amending deed.

[Follow these steps to lodge a return in Land Tax Online.](#)

Learn more about amending a unit trust deed in the [Commissioner's Practice Note: Unit trust deed amendments](#).

[Liability of beneficiaries/unit holders in a fixed trust](#)

If a trust satisfies the relevant criteria, the beneficiaries of the trust are taken to be owners of an equitable estate in the land and may be liable for land tax and any surcharge land tax (if applicable), as if they were legal owners of the land.

They are treated as secondary taxpayers as per [section 25 of the Land Tax Management Act 1956](#).

Therefore, a beneficiaries/unit holder's interest in the trust, which owns other taxable land, or is a special trust, is assessed on the combined value of their interest in the land held in the trust, and any other taxable land owned.

They may be entitled to a secondary deduction to prevent double taxation.

All fixed trusts must provide details of the beneficiaries/unit holders.

[Assessing a unit trust](#)

A unit trust may be a special trust, a fixed trust or a family unit trust.

To be a fixed trust, certain criteria apply.

If they do not apply, the trustee can restructure the trust deed to meet the criteria, but the threshold will only apply from the next tax year.

Unit trusts must meet the criteria outlined in [section 3A\(3B\) of the Land Tax Management Act 1956](#) to be considered a fixed trust.

A trustee must lodge a land tax return, if the land is subject to a trust. A copy of the trust deed should be lodged with the return.

If a beneficiary or a unit holder owns other taxable land, or is a special trust, they are assessed on the combined value of their interest of the land held in the trust and any other taxable land owned. They may be entitled to a secondary deduction to prevent double taxation.

[Back to top](#)

Bare trusts

A bare trust is taxed with the benefit of the [land tax threshold](#).

A bare trust is a type of fixed trust, where the trustee and defined beneficiaries have complete control of the trust.

Given their structure, the land tax implications of bare trusts vary.

Bare trusts are required to submit a copy of the bare trust deed.

Superannuation trusts

A superannuation trust receives the [land tax threshold](#).

A superannuation trust can be:

- a complying superannuation fund
- a complying approved deposit fund, or
- a pooled superannuation trust under sections 42, 43 and 44 of the [Superannuation Industry \(Supervision\) Act 1993](#).

If a superannuation trust is not a complying or pooled trust, it is a special trust and will not receive the benefit of the land tax threshold.

Trusts created by a will

A fixed testamentary trust created by a will receives the [land tax threshold](#).

A discretionary testamentary trust created by a will may receive the land tax threshold for a period of 2 years from the date of death of the testator.

After this period the trust will be considered a special trust. Special trusts do not receive the land tax threshold.

A concessional testamentary trust created by a will is considered a fixed trust and will receive the land tax threshold while all the beneficiaries are minors (children under 18 years). The terms of the trust will determine what happens when the eldest beneficiary

turns 18.

Family unit trusts

Some family unit trusts receive the [land tax threshold](#).

Certain criteria must be met to qualify as a family unit trust. Family unit trust has the meaning given by [Schedule 1AA\(2\) of the Land Tax Management Act 1956](#).

A family unit trust is classified as a fixed trust when:

- land was held at midnight on 31 December 2005 with a taxable value of \$1 million or less
- the unit holders are entitled to a fixed proportion of any distribution of income or capital of the trust made by the trustee, based on the proportion of income or capital units that each person owned in the trust.
- 95% more of the units are owned by the same family group.

Note: If the trust acquires additional land after midnight 31 December 2005 that makes the combined taxable land over \$1 million, the trust will be assessed as a special trust for the tax year following the purchase.

A family group consists of:

- people who are related to each other by blood, as well as adopted children and their spouses
- the ultimate beneficiary, if any of the units are owned by a trustee - this excludes discretionary trusts.
- If a person holds units as trustee – e.g. as trustee of a complying superannuation trust - and the members of the trust are all members of the same family group, the units will be regarded as being owned by members of the same family group for the purposes of determining whether the 95% test is satisfied.

Note: If any new units are issued, redeemed or cancelled, the trust will continue to be assessed as a fixed trust, provided the proportion of units owned by members of the same family group remains at least 95%.

If the trust does not meet this requirement, it will become liable as a “special trust” for the following land tax year.

[Back to top](#)

Concessional trusts

A concessional trust receives the [land tax threshold](#).

Certain criteria must be met to qualify as a concessional trust.

A concessional trust has the meanings given by [section 3B of the *Land Tax Management Act 1956*](#).

These trusts hold land for the benefit of someone who is:

- under 18 years old,
- subject to a guardianship order under the [Guardianship Act 1987](#)
- a person in the relevant group within the meaning of [section 2A of the Coroners Act 2009](#), or
- the principal beneficiary of a special disability trust (within the meaning of [section 1209L of the Social Security Act 1991](#) of the Commonwealth).

Charitable trusts

A charitable trust is created to relieve poverty, to advance education or religion, or to provide a community benefit.

A charitable trust can [apply for an exemption or concession](#).

If the trust is accepted as a charitable trust all land owned by the trust is exempt from land tax.

Documents to provide

You must provide the following information to Revenue NSW when you own land in New South Wales as part of a trust.

Open the heading for more details.

Open all

[Unit trusts](#)

- A copy of the executed and dated trust deed and all executed amendments to the trust deed.
- A certified copy of the unit register for your trust.
- The percentage of interest held by each unit holder.
- A copy of the executed trust deed for any unit holders who are trusts.
- The last known address for each unit holder if not shown in the unit register.

[Estate/testamentary trusts](#)

- A copy of the will and probate.
- The beneficiaries details.

[Any other trust](#)

- A copy of the executed and dated trust deed and all executed amendments to the trust deed.
- A copy of the executed deed that irrevocably excludes foreign beneficiaries as per [section 5D of the *Land Tax Act 1956*](#).

- The [foreign person](#) status of the trust.

Land Tax Online provides a secure and private way to send documents and other information to us.

Learn how to [update your land tax details](#) in Land Tax Online.

Providing accurate information and documents

Providing accurate documentation helps us assess your matter efficiently and ensure the correct outcome for your circumstances.

Providing false or misleading documents to obtain a financial advantage will not be accepted. Where such documents are provided, this may constitute fraud and may be referred to our Legal team for further consideration and penalty.

Penalties for false and misleading information

Applicants must provide information that is true, correct and not misleading, nor should they willfully destroy records.

Under the [Taxation Administration Act 1996](#), penalties may be imposed where a person:

- includes or provides information that is false or misleading
- deliberately fails to comply with requests for information
- willfully destroys records.

If found guilty, a person may be liable for a maximum penalty of:

- 500 penalty units (\$55,000) for a first offence
- 1,000 penalty units (\$110,000) and/or 2 years imprisonment for a second or subsequent offence.

Contact the land tax team

If you have a question about land tax [contact us](#).